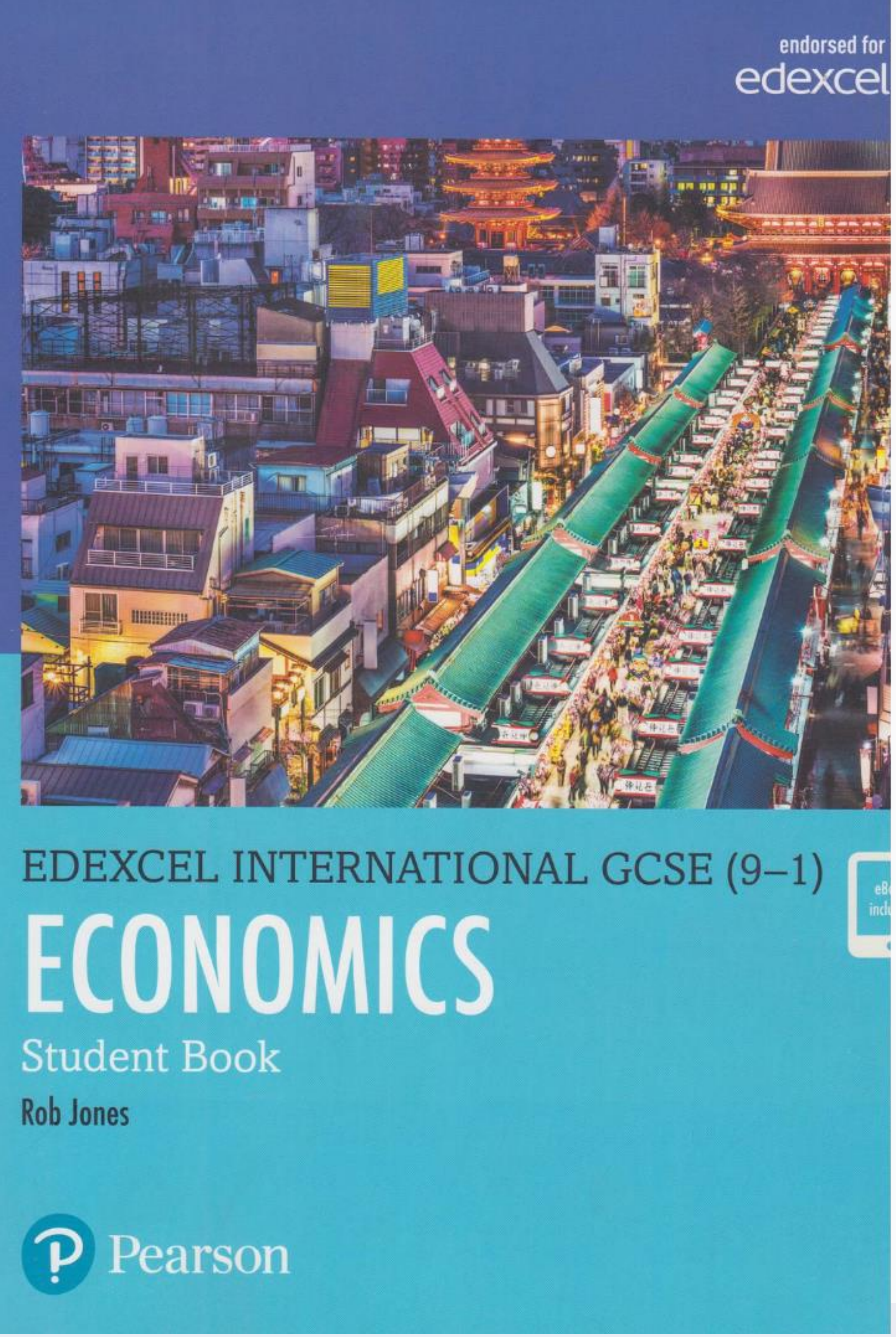

Course: Introduction to Business

Presented by: Dr. Idris Djouahra
Professor of Economics and Statistics
E-mail: idris.djouahra@ensia.edu.dz

Lesson 1: Introduction to Economics

Economics:

- Economics is a science concerned with the description and analysis of the production, distribution, and consumption of goods and services.

Production, Distribution, and Consumption

1. Production

Definition: The process of creating goods and services by combining resources (labor, capital, land).

Example: A factory making clothes, a software company developing apps.

2. Distribution

Definition: The way goods and services (and the income from producing them) are shared among people and groups in society.

Example: Wages paid to workers, profits to business owners, rent to landowners, or how goods are transported from factories to shops.

3. Consumption

Definition: The use of goods and services to satisfy human needs and wants.

Example: Eating food, using electricity, buying clothes, or taking a taxi ride.

Goods and Services

1. **Goods** (tangible products): Physical, touchable items that can be seen, stored, and owned.

   Examples: Food (bread, apples), Clothes (shirts, shoes), Cars, phones, furniture.

   They are produced, bought, and consumed.

1. **Services** (intangible activities): Actions or activities that one person performs for another; you cannot touch them, but you benefit from them.

   Examples: A doctor treating patients, A teacher giving a lesson, A taxi driver giving you a ride. They are performed and consumed at the same time.

Resources

The Four Main Resources (Factors of Production):

1. Land (Natural resources):

Everything provided by nature.

Example: soil, water, oil, minerals, forests.

2. Labor (Human effort):

The physical and mental work done by people.

Example: a teacher giving a lesson, a worker building a house, a doctor treating patients.

3. Capital (Man-made tools & equipment):

Machines, tools, buildings, and technology used to produce goods/services.

Example: factories, computers, delivery trucks.

4. Entrepreneurship:

The skill and risk-taking ability to organize the other resources (land, labor, capital) to produce goods and services.

Example: a business owner starting a bakery, or Elon Musk creating Tesla.

Economics focus

Economics focuses on the behavior and interactions of economic agents and how economies work.

Economic agents

Economic agents are the key decision-makers in an economy. Each has a role:

- **Households (Consumers):**

  Individuals or families who own resources (like labor) and make choices about what goods and services to buy.

  Role: Demand goods/services, supply labor, save and invest.

- **Firms (Producers/Businesses):**

  Organizations that produce goods and services using resources.

  Role: Hire labor, produce goods/services, set prices, and aim to maximize profits.

- **Government:**

  The public authority that regulates and oversees the economy.

  Role: Collects taxes, provides public goods (roads, schools, defense), regulates markets, redistributes income.

- **Financial Institutions (Banks/Markets):**

  Entities that facilitate saving, borrowing, and investment.

  Role: Channel funds from savers to borrowers, influence interest rates, support investment.

What do we mean by Behavior and interactions between Economic agents?

- **Behavior** → how each type of agent makes decisions (buying, producing, saving, investing).
- **Interactions** → how these decisions affect one another in markets (consumers buying from firms, governments taxing firms and individuals, banks lending money).

Economics is divided into two broad categories:

Microeconomics and Macroeconomics

1. Microeconomics

The branch of economics that studies the behavior and decisions of **individual economic agents** such as households and firms. It is the study of economics at the micro level.

- Examples:

- How a family decides to spend its monthly income.
- How a company sets the price of its product .
- How the demand and supply of bread affect its price in the local market.

☞ **Microeconomics** = looks at **individual parts** of the economy.

2. Macroeconomics

The branch of economics that studies the **economy as a whole**. It looks at large-scale economic factors and overall performance. It is the study of economics at the macro level.

- Examples:

- A country’s **unemployment rate**.
- The level of **inflation** (rise in general prices).
- A nation’s **economic growth** (measured by GDP).
- Government policies like taxation, interest rates, or spending that affect the entire economy.

☞ **Macroeconomics** = looks at the **big picture** of the economy.